

Audit I and II
sample multiple question

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1. When the auditor is an employee of the organization being audited the auditor is classified as an.

- A. Internal auditor
- B. External auditor
- C. Government auditor
- D. Both A & B

2. Each of the three parties involved in an assurance service.

- A. The client, the auditor, and the user
- B. The client, the auditor, and the audit team
- C. The client, the moderator, and the auditee
- D. All

3. Who among the following can be appointed as auditor of a company?

- A. A partner or a director of the company.
- B. A person of unsound mind.
- C. A person who borrows from the company.
- D. A person who have C.P.A certificate.

4. Audit means _____.

- A. Recording business transactions.
- B. Preparing the final accounts.
- C. Examination of books, accounts, vouchers etc.
- D. Preparing final accounts.

5. Auditor shall report on the accounts examined by him _____.

A. to the shareholders.

B. to the court.

C. to the bank.

D. to the general public.

6. When a transaction has not been recorded in the books of account either wholly or partially such errors are called as _____.

A. Error of commission

B. Error of omission.

C. Compensating error.

D. Error of principle.

7. Which of the following audit procedures would best address the completeness assertion for sales and collection cycle?

- A. Vouching recorded sales transactions to shipping documents and customer orders.
- B. Tracing a sample of shipping documents to the sales journal.
- C. Sending positive confirmations to a sample of customers.
- D. Performing analytical procedures comparing current year sales to prior year sales.

8. To test the existence assertion for accounts receivable, an auditor would most likely perform which of the following procedures?

- A. Examining subsequent cash receipts for open accounts.
- B. Reviewing the aging of accounts receivable to identify uncollectible accounts.
- C. Selecting a sample of recorded accounts receivable balances and sending confirmations to customers.
- D. Recalculating the allowance for doubtful accounts.

9. In determining the level of materiality for an audit what should not be considered?

- A. Prior years errors.
- B. The auditor remuneration.
- C. Prior year audit report
- D. Prior year financial statements.

10. Which of the following statement is not correct regarding removal of first auditor before expiry of the term?

- A. He is removed at a general meeting.
- B. The shareholders are authorized to do so
- C. The approval of the central government is required for such removal.
- D. The auditor will have representation in general meeting

11. In an audit of financial statements, substantive tests are audit procedures _____

- A. May be eliminated for an account balance under certain conditions
- B. Are designed to discover significant subsequent events
- C. Will increase proportionately when the auditor decreases the assessed level of control risk
- D. May include test of transactions, test of balance and analytical procedures

12. The nature, timing and extent of substantive procedures is related to assessed level of control risk

- A. Randomly
- B. Disproportionately
- C. Directly
- D. Inversely

13. Which audit procedure is primarily designed to test the cutoff assertion for sales and accounts receivable?

- A) Comparing the dates on sales invoices with the dates on shipping documents and the sales journal for a period around year-end.
- B) Examining credit memos issued after year-end for returns of goods shipped before year-end
- C) Reviewing the sequence of sales invoice numbers throughout the year.
- D) Obtaining an understanding of the client's revenue recognition policies.

14. To test the occurrence assertion for purchases, an auditor would most likely:

- A) Examine vendor invoices for proper authorization and supporting receiving reports.
- B) Trace a sample of receiving reports to vendor invoices and the purchasing journal.
- C) Review the sequence of purchase order numbers throughout the year.
- D) Inquire about the company's purchasing policies

15. What would most effectively describe the risk of incorrect acceptance in terms of substantive audit testing?

- A. The auditor has ascertained that the balance is materially correct when in actual fact it is not
- B. The auditor concludes the balance is materially misstated when in actual fact is not
- C. The auditor has rejected an item from sample which was not supported by documentary evidence
- D. He applies random sampling on data which is inaccurate and inconsistent

16. When restrictions that significantly affect the scope of the audit are imposed by the client, the auditor generally should issue which of the following opinion?

- A. Qualified opinion
- B. Disclaimer of opinion
- C. Adverse opinion
- D. Unqualified report with an emphasis of matter paragraph;

17. The client changed method of depreciation and This has been disclosed as a note to the financial statements. It has an immaterial effect on the current financial statements. It is expected, however, that the change will have a significant effect on future periods. Which of the following option should the auditor express?

- A. Unqualified opinion
- B. Qualified opinion
- C. Disclaimer of opinion
- D. adverse opinion

18. To test whether sales have been recorded, the auditor should draw a sample from a file of

- A. Purchase orders
- B. Sales orders
- C. Sales invoices
- D. Bill of loading

19. Auditors are periodically punished for holding an investment in a client. This violates which ethical rule?

- A. Integrity.
- B. Independence.
- C. Noncompliance with IFRS.
- D. Confidentiality.

20. What is the purpose of an engagement letter in the context of audit planning?

- A. To formally accept the engagement and outline the terms, including scope and responsibilities.
- B. To communicate the results of the audit.
- C. To set materiality levels.
- D. To assess the client's internal controls.

21. The audit process typically involves which of the following steps?

- A. Planning, performing fieldwork, preparing financial statements
- B. Performing fieldwork, issuing an opinion, preparing tax returns
- C. Planning, performing fieldwork, audit report.
- D. Reporting findings, preparing financial statements, filing tax returns

22. An external auditor is responsible for:

- A. Finding every error or fraud in a company's financial statements
- B. Ensuring that a company complies with all laws and regulations
- C. Expressing an opinion on the accuracy of a company's financial statements
- D. Managing a company's financial resources

23. The risk of material misstatement includes which of the following?

- A. Inherent risk and control risk
- B. Inherent risk and detection risk
- C. Control risk and audit risk
- D. Detection risk and inherent risk

24. Which of the following is an example of a substantive test?

- A. Testing the control environment
- B. Confirming account balances with third parties
- C. Testing for fraud
- D. Reviewing management's financial representations

25. The AICPA's code of professional conduct requires auditors to:

- A. Maintain objectivity and independence
- B. Provide consulting services to their clients
- C. Use their professional knowledge to benefit their clients
- D. Follow their client's instructions

26. Which audit report indicates that there are no material misstatements in the financial statements?

- A. Qualified opinion
- B. Adverse opinion
- C. Unqualified opinion
- D. Disclaimer of opinion

27. Which of the following would be an audit risk?

- A. The risk of a company being sued
- B. The risk of a company's failure to comply with tax laws
- C. The risk that a company will go bankrupt
- D. The risk that an auditor will issue an incorrect opinion

28. Which type of audit report indicates that the financial statements are materially misstated?

- A. Qualified opinion
- B. Adverse opinion
- C. Unmodified opinion
- D. Disclaimer of opinion

E.

29. What is an audit plan?

- A. A plan used by management to achieve a specific financial goal
- B. A plan used by the auditor to document the audit procedures to be performed
- C. A plan used by the client to prepare the financial statements
- D. None of the above

30. Which of the following is NOT a characteristic of an audit?

- A. Systematic process
- B. Independent review
- C. Objective assessment
- D. Subjective opinion

31. Detection risk is:

- A. The risk that a material misstatement will occur in an assertion.
- B. The risk that the auditor's procedures will not detect a material misstatement that exists in an assertion.
- C. The risk that a material misstatement will not be prevented or detected by the client's internal controls.
- D. The overall risk that the auditor will issue an incorrect audit report.

32. Which of the following is NOT a key aspect of audit planning?

- A. Understanding the client's business and industry.
- B. Assessing the client's internal controls.
- C. Determining materiality levels.
- D. Performing detailed substantive testing of transactions.

33. Before accepting a new audit client, an auditor should:

- A. Immediately begin planning the audit.
- B. Perform procedures to assess the client's integrity and financial stability.
- C. Issue the engagement letter.
- D. Start performing substantive procedures.

34. The primary difference between operation auditing and financial auditing is that in operational auditing....

- A. The operational auditor is not concerned with whether the audited activity is generating information in compliance with financial accounting standard.
- B. The operational auditor is seeking to help management use resources in the most effective manner possible.
- C. The operational auditor starts with the financial statements of an activity being audited and works backward to the basic processes involved in producing them.
- D. The operation auditor can use analytical skills and tools that are not necessary in financial auditing.

35. Recording a transaction twice in the books of original entry is an error of _____.

- A. principle
- B. commission
- C. duplication
- D. omission

36. Which of the following ethical principles imposes an obligation on all professional accountants not to compromise their professional or business judgment because of bias, conflict of interest or the undue influence of others.

- A. Integrity
- B. Professional behavior
- C. Professional competence and due care
- D. Objectivity

E.

37. Which of the following is NOT one of auditors' responsibilities in verifying financial statements?

- A. To discharge properly the statutory duty to report on the true and fair view of financial statements.
- B. To ensure that independence is not impaired.
- C. To comply with the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.
- D. To prepare audited financial statements for shareholders in accordance with the applicable financial reporting framework

38. which of the following is not the main reasons for audit planning?

- A. To enable the auditor to obtain sufficient appropriate evidence.
- B. To avoid misunderstandings with the client.
- C. To help keep audit costs reasonable.
- D. All of the above

39. Which of the following is False?

- A. CR is a measure of the auditor's assessment of the likelihood that misstatements will not be prevented or detected by internal control.
- B. If the auditor concludes that internal control is completely ineffective to prevent or detect errors, there is low control risk
- C. The relationship between control risk and detection risk is inverse.
- D. The relationship between control risk and evidence needed to support account balances is direct.

40. Which one of the following is true?

- A. The risk of material misstatement is a function of inherent and detection risk
- B. A financial statement that contain material misstatement is not considered to show true and fair view
- C. Knowledge about the client's industry is not an essential factor for a successful audit
- D. Audit planning can keep audit costs reasonable

41. Which of the following is an example of an inherent risk associated with an audit?

- A. The company has a complex organizational structure
- B. The company's internal controls are weak
- C. The auditor is not take sufficient evidence
- D. The auditor is not experienced in auditing companies in the industry

42. Professional skepticism requires that the auditor assume that management is _____.

- A. Reasonably honest.
- B. Neither honest nor dishonest.
- C. Not necessarily honest.
- D. Dishonest unless proved otherwise.

43. Which of the following factors is most important in determining the appropriate audit evidence?

- A. The reliability of audit evidence and its relevance in meeting the audit objective
- B. The objectivity and integrity of the auditor
- C. The independence of the auditor
- D. All of the above

44. When is audit evidence generally, considered sufficient?

- A. When it constitutes entire population
- B. When it is enough to provide a basis for giving reasonable assurance regarding truthfulness
- C. When it is objective and relevant
- D. When auditor collects and evaluates it independently

45. Which of the following best describes 'test of controls' in an audit?

- A. Procedures to test the effectiveness of controls in preventing or detecting material misstatements
- B. Testing the accuracy of financial statements
- C. Procedures to identify potential fraud in financial statements
- D. Testing the company's compliance with financial regulations

46. What does 'substantive testing' in auditing refer to?

- A. Testing the company's compliance with laws
- B. Testing for the existence and accuracy of financial information
- C. Testing the effectiveness of internal controls
- D. Testing the company's budgeting process